



Federal Express: The Moneyback Guarantee (A), (B), (C), (D) and (E)

Teaching Note

This teaching note is organized into the following nine sections:

- I. Synopsis
- II. Purpose and Learning Objectives
- III. Possible Assignment Questions
- IV. Suggested Teaching Uses
- V. Suggested Teaching Strategy
- VI. General Overview of Case Issues
- VII. Detailed Teaching Narrative
- VIII. Summary of General Conclusions
- IX. Summary (suitable for an overhead transparency)
- X. Condensed List of Possible Discussion Questions

Case Series Synopsis

A professor at a senior management-level seminar on service quality is unable to conduct a class due to the failure of an overnight-delivery company (Federal Express) to deliver a package containing a videotape and accompanying presentation materials that had been finished the previous day. The delivery company, which guarantees its service, was at fault and is willing to make good on its "money-back guarantee," which is a full refund of the price paid to ship the package

Mr. Christopher W.L. Hart prepared this teaching note as an aid to instructors in the classroom use of the cases "Federal Express: The Moneyback Guarantee," (A) No. 690-004, (B) No. 690-005, (C) No. 690-006, (D) 690-007, (E) 690-008.

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(approximately \$14.00). The (A) and (B) cases depict the professor's plight and the company's initial response.

The (C) case is simply a copy of a letter of complaint the professor wrote to the company, and the (D) case is a copy of the response letter written by the chairman and CEO. The (E) case, which can be handed to students as they leave the class, provides "war stories" depicting the company's commitment to service.

This case series demonstrates that a service failure can result in costs that exceed the price of the service. The discussion of this situation requires students to grapple with the concept of "hidden failure costs," specifically, how these costs should be considered in the framework of a service guarantee.

Suggested Teaching Uses

The case series is designed to be used in a course on service management, in a module that deals with service quality. It can be used in a discussion of service guarantees as an excellent example. Additionally, it is a good companion piece to "The Customer Complaint (A) and (B)," a pair of case studies that focus on "service recovery"—what to do when things go wrong. (HBS case Nos. 687-040; 688-012.)

The best positioning of this case series would be as a follow-up to the discussion of the various service guarantee examples. The Federal Express service guarantee example should be added to those examples and should be the last example discussed, offered as an example of a clear, unconditional, easy to invoke, well-intended guarantee. Then, in the following session, the "Federal Express: The Moneyback Guarantee" case series will engender discussion.

Suggested Teaching Strategy

The students should read "Federal Express: The Moneyback Guarantee (A)" before class. For use in seminars regarding service guarantees, the (A) case can be handed out to participants as they leave the session which discusses various service guarantees.

An 80-minute class might proceed as follows:

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| (30 minutes) | A. Discussion of the (A) case, including: <ul style="list-style-type: none">– service guarantees;– customer costs;– service firm's responsibility;– service recovery;– speculation on what Federal Express did. |
| (5 minutes) | B. Distribution and reading of (B) case. |
| (15 minutes) | C. Discussion of (B) case, including: <ul style="list-style-type: none">– true internal costs of service mishaps;– service guarantee as forcing function. |
| (5 minutes) | D. Distribution and reading of (C) case. |
| (10 minutes) | E. Discussion of (C) case, including: <ul style="list-style-type: none">– the appropriate mechanism for customer complaint letters;– error rates; |

- speculation on Federal Express's response.
- (5 minutes) F. Distribution and reading of (D) case.
- (5 minutes) G. Discussion of (D) case, including:
 - how did FedEx handle it?;
 - evaluation of Fred Smith's response.
- (3 minutes) H. Show Video
- (10 minute) I. Summary
- J. On the way out, distribute (E) case.

The class should begin with a discussion of the (A) case and then the (B) case should be distributed and read silently in class. Again, after discussion of how FedEx actually responded, the (C) case should be introduced with the comment, "Let's pose this problem to Federal Express's CEO." After discussion on what expected response might come from the CEO, the (D) case is distributed showing Fred Smith's actual response (the video version of the (D) case might be used to close the class with the students taking the hard copy of the (D) case on their way out).

Learning Objectives

- * To illustrate the concept of "hidden failure costs";
- * To explore the concept of "money-back guarantees";
- * To examine failure detection, feedback, and elimination systems; and
- * To analyze the concept of "zero defects" in a service setting.

Suggested Teaching Narrative

[Note to the Instructor: The discussion could be opened with the following questions]:

Q. CRITIQUE FEDERAL EXPRESS'S SERVICE GUARANTEE (Assuming such critique was not completed in the previous discussion on various service guarantee examples).

Q. HOW SHOULD THIS SITUATION HAVE BEEN HANDLED?

Possible responses include:

- Federal Express should have called the professor;
- Federal Express could have arranged to deliver the package via alternate means (particularly since Savannah is only about a three-hour drive from Amelia Island;
- Federal Express could have FAXed the presentation materials.

Q. SHOULD FEDERAL EXPRESS HAVE PAID FOR A CAB TO DELIVER THE PARCEL? A HELICOPTER?

[Note to the Instructor: Let the students debate this issue, but leave it unresolved for the time being. Come back to it shortly (see below).]

Q. WHY DIDN'T FEDERAL EXPRESS CALL PROFESSOR JONES?

How the refund process works: Federal Express's customers must take the initiative to invoke the guarantee. Federal Express will not give a refund unless a customer calls and informs the company of the error. If a parcel is late, the *recipient* can call Federal Express and inform them and request a refund (or billing credit). Or, if Federal Express doesn't hear from the recipient on the intended delivery day, the *shipper* can check the invoice which has the exact time of delivery on it. If the delivery time is later than that which is guaranteed, the shipper can request a refund.

Acting on service failures: Given Federal Express's tracking system, it seems fair to guess that the company knew hours before 10 a.m. on Thursday that the package would not make it. Assuming that is true, why doesn't Federal Express call customers whose parcels are going to be delivered late and let them know? Additionally, since the information is right there in its computers, why doesn't it offer its refund in *all* cases of failure to deliver on time, rather than waiting for a customer complaint? Mightn't this force it to improve further?

Q. IS THERE A "NATURAL" ERROR RATE IN A BUSINESS, AN ERROR LEVEL THAT REALISTICALLY CAN'T BE SIGNIFICANTLY REDUCED? PERHAPS A 1% ERROR RATE FOR OVERNIGHT DELIVERY IS THE BEST THAT CAN BE ACHIEVED?

A phone call to Federal Express's 800 number—the same one called in the video—determined that the company makes approximately 8,000 missorts per day—about 1% of the parcels they handle. The 1% figure includes parcels that were classified as "problems"—late, untraceable in 30 minutes, or damaged. However, as we've seen, the 8,000 daily errors are all customer-reported errors, which implies that the actual number of late packages is higher than the number the company reports. How much higher?

Payout cost: The company would not divulge its actual cost of guarantee payouts. With a few assumptions, the amount can be estimated, however.

$$(365 \text{ days/yr}) (5/7) (8,000 \text{ errors/day}) (\$14/\text{payout}) = \$29,200,000$$

(The 5/7 fraction is used because there are few Saturday and no Sunday deliveries.)

This large figure provides a highly plausible explanation for why the company doesn't proactively call customers whose parcels are late and give them credit for every late delivery. What if the actual percentage of late deliveries is 2%? 3%? 6%? Refunds suddenly become a very expensive proposition.

Q. WHAT ARE THE CUSTOMER COSTS IN THIS EXAMPLE? WHAT SHOULD THE GUARANTEE PAYOUT BE?

Customer costs and the Federal Express "payout": The cost of this service failure was far in excess of the delivery charge. It included: time on the part of the professor, his secretary, and numerous employees both in the Harvard mailroom and at the resort; inconvenience to 30 senior executives, and the planners in charge of the seminar; aggravation to the professor, and possible damage to his reputation and future opportunities. What form of recompense would be required to cover all of a customer's costs (and thereby engender satisfaction)?

Q. WHAT COSTS WERE INCURRED BY OTHERS AS A RESULT OF FEDERAL EXPRESS'S SERVICE FAILURE? WHAT LEGAL/ETHICAL/MORAL/BUSINESS OBLIGATION DOES FEDEX HAVE REGARDING THESE COSTS?

In the scenario depicted by the case, the costs include: the opportunity cost of thirty senior executives' time; damage to the reputation of the management-development department sponsoring

the seminar; damage to the professor's reputation (and the potential for losing the opportunity to conduct future seminars with this Fortune-500 company); and time and aggravation incurred by the professor's secretary and by the school's shipping department, and the time spent by several employees at the resort where the seminar was taught, trying to track down the parcel—under the assumption that it had "absolutely, positively" been delivered. Although these costs are difficult to quantify, it can be assumed that the total would be in excess of the \$14.00 cost of shipping.

Q. NOW HOW DO YOU FEEL ABOUT HAVING FEDERAL EXPRESS DELIVER THE PARCEL BY CAB OR HELICOPTER?

What if Federal Express chose to devise a punitive payout (à la the "Bugs" Burger service guarantee cited in my article) and occasionally took heroic measures—e.g., using a helicopter to get materials to a customer? Certainly it is easy enough to argue that such emergency measures are simply not feasible. It is useful, however, to consider the question: If Federal Express had to pay for helicopter deliveries, among other things, would it figure out a way to reduce the number of missorts—i.e., the "natural error rate?" Additionally, how many customers are lost through bad experiences like this one? At what cost to Federal Express?

Q. COULD FEDERAL EXPRESS'S CSRs BE EMPOWERED TO SOLVE EVERY ERROR THAT IS CALLED TO THEIR ATTENTION?

The concept of service recovery: At the heart of many service guarantees is the notion of doing whatever it takes to make things right for the customer when things go wrong. How could Federal Express have "recovered" the situation for the customer? The cost of sending parcels by cab or helicopter (or via FAX) is obviously high, but Federal Express promotes the image of "absolutely, positively."

Who should be empowered to make costly decisions? What kinds of limitations might Federal Express impose?

Q. WHAT WOULD YOU EXPECT FROM MOST CEO'S IN RESPONSE TO THE LETTER PRESENTED IN "FEDERAL EXPRESS: THE MONEYBACK GUARANTEE (C)?"

Q. WHAT DO YOU THINK OF FRED SMITH'S RESPONSE?

V. Summary of Key Issues

1. Is a full refund enough to cover your customers' true costs when you fail to deliver your service?

Many companies offer a money-back guarantee for service failure. However, when the service fails customers incur costs in excess of the price they paid for the service. At the very least, they incur the cost of their time to verify and then report the service failure. Often they incur communication costs. And, as seen in this exercise, the costs can be tremendously high, especially when the value of foregone future earnings is factored in.

2. Should you wait for customers to bring service failure mistakes to your attention? Or should you proactively trace all system failures internally?

Most companies, even the "excellent" ones, do indeed wait for the customer to call attention to service failures. Then, and only then, the excellent companies separate themselves from the also-rans by the superb way they react to customer complaints.

However, a company that truly wanted to approach zero-defects in its service delivery would proactively track its errors internally. Putting in place such a system would be a tremendous

investment, but one that would, in the long term, hold the most promise for actually achieving error-free service delivery. The strength of the signal that such a system would send to employees—that top management is serious about their goal of error-free service—would have such power that even the most vociferous critic of a quality-improvement process would be won over.

Also, the gap that would then be created between such a company and its competitors would be "highly defensible." If we assume that FEDEX has five times the errors that are actually reported (1% are reported), then FEDEX has a huge chink in its armor. If FEDEX mounted an internal campaign to eliminate that 6% error rate, and it appears they have the tracking system *in place* to do so, the goal of error-free service would be within sight. The point is that *eventually Fedex will have to do this anyway, or someone else will. So why not start now?*

3. Should you pay out for all service failure mistakes, whether reported by the customer or not?

This depends on the degree to which your service delivery system is presently under control. If you want fast and furious input from customers, have the manpower to receive, acknowledge, and turn it into system improvements, and are willing to pay for the input, then go to it. Most people would probably argue for making internal system improvements first, and then offering payouts for mistakes to customers.

The trade-off is time. While making internal improvements, which are unknown to your customers, they continue to suffer from any of your service failures. How many uncompensated failures will they tolerate before they stop buying from you? The upside, however, is tremendous: once you are able to offer payouts for all service failures, you will have your customers bonded to you for life.

Summary

Here we have an "excellent" service company, one with a service guarantee that's perceived to be outstanding. But neither the company nor its guarantee covers its customers' costs.

If you are currently spending \$5 million on this service, at, let's say, \$20 per package (factor in some heavy packages), that's 250,000 packages. The customer-reported failure rate on delivery of these packages is about 1%. Let's assume that the actual failure rate is higher, but customers don't report these other failures because they don't incur any costs (i.e., getting the package a day late, or several hours late, makes no difference to the customer). When a failure is reported, then, it would seem that the failure probably does have a customer cost—why else would a customer take the time (a cost) to report it?

I suppose there are a few efficient mailrooms that track these failures and apply for and receive refunds, but I'll bet they are the exception. Does your mailroom track failures?

So, 250,000 packages (x) 1% = 2500 packages that will probably fail to be delivered on time. What might your (unabsorbed by FedEx) customer costs be for these 2500 failures? Should we assume \$10 in your costs per failure? \$50? \$100? More? How much was this one? \$1000? \$10,000?

Add that up, and the customer cost is huge. So maybe several major failures could easily up the average failure cost to \$1000. Multiply by your expected 2500 failures per year, and you get what? \$2.5 million? Yes. That's incredible, isn't it?

If Federal Express's customers begin to realize the negative consequences of its service failure, do you think they might demand more of it? Use the service less? Switch to another brand? Open the door for a substitute—FAX, perhaps?

At the end of the (B) case, the question "What Happened?" is answered with an April 4 letter of apology from a customer-relations agent who enclosed 10 coupons for free deliveries.

Shouldn't that be enough? Well, yes and no. The strongest impact on my overall feeling about Federal Express was the negative content of the phone call; the goodwill gesture—which, to be sure, arrived pretty promptly—would have cemented my loyalty much more effectively if I'd been offered it immediately, at the time of the complaint. How many dissatisfied customers even request free coupons? How many receive them? Do they go only to "cranks"—as I think I was perceived and treated?

Would the average CEO respond to the letter written in the (C) case? What kind of response would you expect? Is the consideration of a service guarantee, its effectiveness or its weaknesses, something a CEO should constantly be grappling with?

Points and Questions to Consider

Customer costs and the Federal Express "payout": The cost of this service failure was far in excess of the delivery charge. It included: time on the part of the customer, his secretary, and numerous employees both in the Harvard mailroom and at the resort; inconvenience to 30 senior executives, and the planners in charge of the seminar; inconvenience to the professor (and possible damage to reputation and future opportunities). One can assume that, whenever a customer takes the time to lodge a complaint, the cost of the failure is significant. What form of recompense would be required to cover all of a customer's costs (and thereby engender satisfaction)?

The concept of service recovery: At the heart of many service guarantees is the notion of doing whatever it takes to make things right for the customer when things go wrong. How could Federal Express have handled this complaint differently? How could it have "recovered" the situation for the customer? (In addition to putting the materials on a cab or truck in this case, some of the materials could have been FAXed, etc.) The cost of this kind of action is obviously high, but Federal Express promotes the image of "absolutely, positively." On the other hand, what kinds of limitations might Federal Express impose, and who should be empowered to make costly decisions?

Acting on service failures: Given Federal Express's tracking system, it seems fair to guess that the company knew hours before 10 a.m. on Thursday that the package would not make it. Why doesn't Federal Express call customers whose parcels are going to be delivered late and let them know? Federal Express currently offers a refund only to customers who complain. But the information is right there in its computers: Why doesn't it offer its refund in all cases of failure to deliver on time, rather than waiting for a customer complaint? Mightn't this force it to improve further?

Actual number of failures: According to Federal Express, there is an error rate of a little less than 1% on the 800,000 to a million packages it ships per day. Does this information come from its tracking system—the actual total number of packages that fail to make their destinations on time—or from instances in which customers *report* a problem? Many times, late delivery is less disastrous than it was in this case, and customers have less incentive to call Federal Express to complain or make an inquiry. Thus, if the 1% represents customer-reported errors, the actual number of errors must be much higher. Given that a fundamental purpose of a guarantee is to identify and analyze errors, how much does Federal Express know about its errors—their sources, their severity, their impact on repeat business?

Assume Federal Express chose to pay out on the guarantee voluntarily, and thus had to pay for every single instance of service failure, however slight; devised a punitive payout (a la the "Bugs" Burger service guarantee cited in my article), or one commensurate with the service failure; and occasionally took heroic measures—e.g., using a helicopter to get materials to a customer. Certainly it

is easy enough to argue that such emergency measures are simply not feasible. It is useful, however, to consider the question: If Federal Express had to pay for helicopter deliveries, among other things, would it figure out a way to reduce the number of missorts? Is better performance possible? How many customers are lost through bad experiences like this one?

SUMMARY

1. IS A FULL REFUND ENOUGH TO COVER YOUR CUSTOMERS' TRUE COSTS WHEN YOU FAIL TO DELIVER YOUR SERVICE?
2. SHOULD YOU WAIT FOR CUSTOMERS TO BRING SERVICE FAILURE MISTAKES TO YOUR ATTENTION OR SHOULD YOU PROACTIVELY TRACE ALL SYSTEM FAILURES INTERNALLY?
3. SHOULD YOU PAY OUT FOR ALL SERVICE FAILURE MISTAKES, WHETHER REPORTED BY THE CUSTOMER OR NOT?